

1 · GOOD BUSINESS?		2 · GROWING?		3 · SAFE?		4 · FAIR PRICE?		5 · CAN I EXIT?	
ROE > 15% for 3-4 years		Profit CAGR > 12%, sales growing too		Debt/Equity < 50 and Interest cover > 5×		P/E ≤ sector (PE vs sector < 1) or PEG < 1		Turnover > ₹1 Cr/day, promoter not selling	
RATIO	WHAT IT TELLS YOU	BETTER	GOOD	OKAY	CHECK	EXAMPLE (YOUR LISTS)			
SIZE									
Market cap	price × shares	Price tag of the whole company	⬇	Large > ₹1 lakh Cr (steady)	Mid ₹35k–1L Cr	Small < ₹13k Cr; extra care < ₹3k Cr	RELIANCE ₹15.8 L Cr · SARDAEN small		
VALUATION — CHEAP OR EXPENSIVE?									
P/E	price ÷ profit per share	₹ paid for ₹1 of yearly profit	⬇ lower	< 15 (with growth)	15–35	> 50, or blank (loss)	CANBK 5.4 cheap · DIVISLAB 84 costly		
PE vs sector	P/E ÷ sector median	Cheap vs its own peers	⬇ lower	< 0.8×	0.8–1.2×	> 1.5×	LUPIN 0.32×		
Forward P/E	price ÷ next-year profit	Valuation on expected profit	⬇ lower	Below current P/E	≈ current P/E	Above current P/E (profit to fall)	MARUTI 25 → fwd 18.8		
PEG	P/E ÷ growth %	Price adjusted for growth	⬇ lower	< 1	1–2	> 2 or negative	MARUTI 0.77		
P/B	price ÷ book value/share	Price vs net worth — key for banks	⬇ lower	Banks 1–2	Banks 2–3	> 4 (banks) · < 0.7 check bad loans	MARUTI 3.3 (fine: asset-light)		
EV/EBITDA	(mcap + debt – cash) ÷ op. profit	Valuation that counts debt	⬇ lower	< 10	10–20	> 25 · not for banks	MARUTI 16		
FCF yield	free cash ÷ mcap	Real cash earned on the price	⬆ higher	> 5%	2–5%	Negative for years	Not for banks		
PROFITABILITY — GOOD BUSINESS?									
ROE	profit ÷ owners' money	How hard your money works	⬆ higher	> 15% (20%+ excellent)	10–15%	< 10% · very high + high debt	HINDZINC 68% · GLAXO 40% · NMDC 23%		
ROE (4-yr avg)	average of 4 years	Consistently good, not one lucky year	⬆ higher	> 15%	10–15%	< 8% (screen rejects)	NATIONALUM 20% · SBIN 15%		
Operating margin	op. profit ÷ sales	Profit from the core business	⬆ higher	> 20% (IT/FMCG/pharma)	8–20% (manufacturing)	Falling yr after yr · compare in sector	MARUTI 4.8%		
Net margin	net profit ÷ sales	₹ kept from every ₹100 sold	⬆ higher	> 15%	8–15%	< 5% (unless retail/steel)	₹8 per ₹100 = 8%		
GROWTH — GETTING BIGGER?									
Revenue CAGR	sales growth / yr, ~4 yrs	Is the business expanding	⬆ higher	> 15%	8–15%	< 5% or shrinking	ANTHEM 26% · VEDL –19%		
Profit CAGR	profit growth / yr	Is profit keeping up	⬆ higher	> 15%	10–15%	< 5% · huge % from a weak base year	LUPIN 132% (low base!)		
SAFETY — DEBT & RISK									
Debt/Equity	loans ÷ owners' money, in %	How much is borrowed	⬇ lower	< 50 (0.5×	50–100	> 150 · ignore for banks	NATIONALUM 0.3 · JSWSTEEL 95		
Interest cover	op. profit ÷ interest	Times it can pay its interest	⬆ higher	> 5×	2–5×	< 2×	MARUTI 81×		
Beta	move vs market	1 = moves like Nifty	⬇	< 1 calmer	1–1.3	> 1.5 very swingy	360ONE 0.47		
Volatility	yearly price swing	How bumpy the ride is	⬇ lower	< 20%	20–35%	> 45%	MARUTI 23% · silver ~34%		
Max drawdown (3y)	worst fall from a peak	Worst pain you'd have sat through	⬆ nearer 0	Better than –20%	–20% to –40%	Worse than –50%	MARUTI –33.5% (₹1L → ₹66k)		
DIVIDENDS — INCOME									
Dividend yield	dividend ÷ price	Yearly cash per ₹100 invested	⬆ higher	3–5%	1–3% (0% ok for growth stocks)	> 7% → check it's not one-off	CANBK 3.6% · VEDL 13.5% (special)		
Payout ratio	dividend ÷ profit	Share of profit paid out	⬇	20–60%	60–90% or < 20%	> 90% (may be cut)	MARUTI 30%		
OWNERSHIP									
Promoter %	founders / parent stake	Own money at stake	⬇	50–75%	30–50% (or PSU: govt)	< 25% · pledged shares	SBIN 55% (govt) · M&M 18%		
Promoter change (1y)	in % points	Are owners buying or selling	⬆ higher	Rising (buying)	0 to –1 pt	Falling > 3 pts	HINDCOPPER 0.0 (steady at 66%)		
PRICE & TREND									
% below 52W high		How far it fell from the 1-yr peak	⬇	0–10% strong · 20–40% buy-zone for quality	10–20%	> 50% → find the reason	MARUTI 34.5% below		
Price vs 200-DMA	vs 200-day average	Long-term trend	⬇	0 to +20% uptrend	–10% to 0	< –15% downtrend · > +30% overheated	MARUTI –17.6%		
Turnover / day	₹ traded daily	Can you buy/sell easily	⬆ higher	> ₹1 Cr	₹10 L – 1 Cr	< ₹10 L (hard to exit)	SME / BSE-only often illiquid		
RETURNS & OUR SCORE									
CAGR	yearly growth rate	Compare any time period	⬆ higher	> 15% (5y+)	10–15% (≈ market)	< 8% long term	+50% in 3 yrs = 14.5%/yr · Nifty 30y ≈ 11%		
Screen score	0–100, this project	Quality 35 · Safety 20 · Value 20 · Income 10 · Trend 15	⬆ higher	> 60	45–60	< 40	NATIONALUM 65.5 · CAPLIPOINT 68.8		

Banks are different

Use P/B, ROE, ROA and NPA (bad loans). Ignore Debt/Equity, EV/EBITDA, FCF, Interest cover.

Compare within the sector

IT/FMCG naturally have high P/E & margins; steel/banks low. A "high" number may be normal for that sector.

Read ratios together

Low P/E + falling profit = value trap. High ROE + high debt = risky. One ratio never decides.

Check the trend

Improving ROE, margins and growth over 3-4 years beats a single great year.

Formulas use a sample company "Chai Ltd" (price ₹200, profit ₹40 Cr, equity ₹200 Cr, debt ₹100 Cr) in the explanations. Ranges are general Indian-market rules of thumb, not investment advice. Prints on one A4 landscape page.